

**Time:** 5 minutes**Outcome:** Explain how bank capital absorbs asset losses.**Difficulty:** ●●○ Intermediate

Bank Balance Sheets, Reserves, and Capital



THE CORE IDEA

A bank balance sheet satisfies $\text{assets} = \text{liabilities} + \text{capital}$. Reserves, loans, and securities are assets. Deposits and bank borrowing are liabilities. Bank capital is owners' equity: $\text{assets} - \text{liabilities}$. Reserves provide liquidity and help meet withdrawals; capital absorbs asset losses. Required reserves and capital requirements therefore constrain different parts of the balance sheet.



HOW TO RECOGNIZE IT

- A customer's deposit is a bank liability; the cash or reserve balance received is an asset.
- A cash withdrawal reduces both reserves and deposits by the same amount.
- A loan is a bank asset because the borrower owes the bank repayment.
- An asset loss reduces capital when liabilities do not change.



WATCH OUT

Do not call reserves bank capital. Reserves are assets available for payments; capital is the residual claim, $\text{assets} - \text{liabilities}$, that cushions losses.



WORKED EXAMPLE: CAPITAL ABSORBS AN ASSET LOSS

Bank balance sheet (dollars)

	Before loss	After \$25 loan loss
Reserves	120	120
Loans	780	755
Securities	100	100
Total assets	1000	975
Deposits	900	900
Borrowing	40	40
Total liabilities	940	940
Capital	60	35

Before the loss, $\text{assets} = \text{liabilities} + \text{capital}$: $\$1,000 = \$940 + \$60$. A \$25 loan loss reduces loans and total assets while liabilities are unchanged. Afterward, $\$975 = \$940 + \$35$. Capital absorbs the loss; reserves remain \$120.



CHECK YOURSELF

If another \$10 loan loss occurs and liabilities stay fixed, what happens to capital and reserves?

**READY?**

Return to the game and master this concept.